The Honorable Christopher M. Alston
Chapter 7
**Hearing Location:** United States Bankruptcy Court, Courtroom 7206, 700 Stewart Street, Seattle, WA 98101
**Hearing Date:** Motion shortening at judge's discretion for requested hearing 4/10/25
**Hearing Time:** 9:30 am
**Response Date:** Proposed for the above future hearing: 4/9/25, 5 pm

**UNITED STATES BANKRUPTCY COURT WESTERN DISTRICT OF WASHINGTON**

AT SEATTLE

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| In re:<br><br>MELANIE A SMITH *aka* M A SMITH *aka* M SMITH,<br><br>Debtor. | No. 24-10218-CMA<br><br>DEBTOR'S MOTION FOR DETERMINATION OF AMOUNTS OWING TO FIRST AND SECOND MORTGAGES AFTER REDUCTION FOR STATUTE OF LIMITATIONS BARRED MISSED PAYMENTS AND CHARGES AND COSTS AND MEMORANDUM IN SUPPORT |

COMES NOW, Debtor, Melanie A Smith, by and through her attorney William C Budigan, and moves the Court for an Order ON MOTION FOR DETERMINATION OF AMOUNTS OWING TO FIRST AND SECOND MORTGAGES AFTER REDUCTION FOR STATUTE OF


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LIMITATIONS BARRED MISSED PAYMENTS AND CHARGES AND COSTS AND MEMORANDUM IN SUPPORT and states as follows:

## Background for Motion

- Debtor Melanie Smith has lived in her home for 35 years.
- Foreclosure sale of the first mortgage by creditor US Bank is set for 4/11/25 AM.
- Bankruptcy Trustee has a Real Estate listing agent and an offer for $1.280M.
- Debtor says this is under the expected appraisal price of $1.5M.
- Debtor herself has an offer of $1.4M with an escalator clause to $1.5M.
- Debtor has a homestead exemption of $968,333. See EX D.

# RELIEF REQUESTED

Debtor has no debts other than the first and second mortgages and has moved for a determination of the balances due on those mortgages per six years statute of limitations for unpaid mortgage payments, reducing them down, as follows:

1st mortgage position holder US Bank claims an amount for 4/11/25 foreclosure sale. See EX B 10/9/24 Notice of Trustee's Sale for 2/14/25 foreclosure sale; attaching Notice of Foreclosure claiming payments since 12/1/18= $241,156.91 principal, $64,624.38 interest, costs and advances of $70,704.34 for a total of $376,485.63 accelerated amount due and $192,734.28 default cure if done 11 days before foreclosure sale. The recent pay off amount of the first mortgage from the lender's servicer is dated 2/7/25 is for $384,403.83. See EX E. Plus two more months of March and April 2025 of mortgage payments of $1,907.42 each = another $3,814.84, for a new total alleged accelerated amount owing by Debtor of about $388,218.67.

Debtor moves the court to declare that the reinstatement amount of the arrears only loan figure (not accelerated principal amount) from the lender's servicer, Quality Loan Service Corporation,


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dated 2/7/25 (See EX C) of $193,338.52 through 2/13/25 plus the March and April 2025 mortgage payments of $1,907.42 each = another $3,814.84, is a new total owing of $197,153.36 for just arrears and adjusted below by a reduction applied for foreclosure costs barred by the statute of limitations as described below and moves to allow Debtor to make time payments in the future on the unpaid principal balance by payment of the WA State HAP grant of $60K and $20K cash and the balance of the adjusted loan amount due of about $100,000 (about 197K -18K reduction minus 60K minus 20K).

However, these pre-foreclosure arrears AND accelerated amounts above include foreclosure costs amounts disputed by DEBTOR for statute of limitations barred costs of $18,219.43 (See Ex D for notated dates and amounts barred by statute of limitations), but DEBTOR IS NOT disputing as barred the other amounts. Debtor REQUESTS REDUCTIONS DOWN TO $369,999.24 for accelerated amount ($388,218.67-$18,219.43) and down to $178,933.93 for default cure before foreclosure sale ($197,153.36-18,219.43) and so moves for the court to declare judgment reducing the amounts owed by these time barred foreclosure costs.

As explained below: foreclosure costs incurred before 10/10/18 are barred because more than 6 years before 10/9/24 when lender recorded Notice of Default and Notice of Foreclosure to collect on arrears and this was after stay had been lifted 8/23/24 and after mortgage payments expired under stays and lender did not enforce within 30 days of lifting of the stay, so they can only go back 6 years from the Notice of Default recording 10/9/24, OR from 10/10/18, per 11 USC section 108 (b) (2).

# MEMORANDUM OF LAW

## Statute of Limitations on Missed Mortgage Payments

The Washington State statute of limitations for breach of contract to pay mortgage payments AND for foreclosure under a deed of trust is six years. *Walcker v. Benson & McLaughlin*, 79 Wn. App.


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739, 743 (1995) (The six year statute of limitations on an action for a contract in writing applies to the foreclosure of a mortgage on real property. Since Washington's deed of trust statute, RCW 61.24, does not refer to any limitation period for non-judicial foreclosures, the limitation period for foreclosure of mortgages applies). The "final" statute of limitations period to collect all the debt payments does not begin to run until six years after the lender accelerates the debt or the debt fully matures.

On July 20, 2023, the Washington Supreme Court issued two companion opinions in *Copper Creek (Marysville) Homeowners Association v. Kurtz*, 1 Wash.3d –, 532 P.3d 601 (Wash. 2023 No. 100918-6) and in *Merritt v. USAA Federal Savings Bank*, 1 Wash.3d 692 (Wash. 2023). Both cases rule that a bankruptcy discharge does NOT trigger the start of statute of limitations to enforce a deed of trust and the Court explained that the six-year statute of limitations period to collect a missed payment on mortgage installment debt begins to run on the date the borrower misses a payment. The statute begins to run when each monthly payment is not paid. *Westar Funding, Inc. v. Sorrels*, 157 Wn. App. 777, 239 P.3d 1109, 1113 (Wash. Ct. App. 2010). The "final" statute of limitations period to collect the debt in any manner does not begin to run until six years after the lender accelerates the debt or the debt fully matures.

## Acceleration Triggers the Statute of Limitations for all payments owing after the acceleration

The promissory notes executed by the Merritts were installment notes because they are payable in periodic installments with a final payment coming due on a future maturity date. Promissory notes, including the ones in the Merritt case, often contain clauses permitting the creditor to accelerate the note in case of a default. Acceleration causes the entire remaining balance to become due immediately, "and the statute of limitations is triggered for all installments that had not previously become due." *4518 S. 256th, LLC v. Karen L. Gibbon, PS*, 195 Wn. App. 423, 434-35, 382 P.3d 1 (2016).


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Acceleration occurs only by some explicit and affirmative action "by which the holder of the note makes known to the payors that he intends to declare the whole debt due." *Id.* at 435.

The WA Supreme Court in Merritt wrote:

> Applying the principles outlined above to this case, the six-year statute of limitations on each individual missed installment payment began to run on the due date of each missed payment. Thus, there are some individual installment payments that may now be barred by the six-year statute of limitations. But the final statute of limitations has not yet begun to run on any of the notes or deeds of trust. That final statute of limitation will not begin to run on any note or its corresponding deed of trust until that note reaches maturity.

## POLICY Affirms Statutes of Limitations for Missed Morgtage payments

The court in *LUV v. West Coast Servicing, Inc.* (Div I 4/1/24 No. 83959-4-I, unpublished opinion; an unpublished case after 2013, which under GR 14.1 may be cited as nonbinding authorities, if identified as such by the citing party, and may be accorded such persuasive value as the court deems appropriate) explains the policy behind affirming statutes of limitations against missed mortgaged payments:

> ...Moreover, we agree with Luv that it is against public policy to allow a deed of trust to be enforced without limits. Statutes of limitations promote justice and ensure fairness by "preventing surprises through the revival of claims that have been allowed to slumber until evidence has been lost, memories have faded, and witnesses have disappeared." *Langlois v. BNSF Ry. Co.*, 8 Wn.App. 2d 845, 862, 441 P.3d 1244 (2019). "[T]hese goals are generally applicable in foreclosure proceedings, whether based on mortgages or deeds of trust." *Walcker*, 79 Wn.App. at 746.


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## Impact of bankruptcy Filing on Mortgage Statute of limitations

*Copper Creek* and *Merritt* clarify that a bankruptcy filing does not change the contractual due dates of mortgage payments and even a personal discharge for liability for the debt does NOT accelerate or make mature the contractual payments. The creditor's lien survives bankruptcy and remains with the real property until foreclosure. *Dewsnup v. Timm*, 502 U.S. 410, 417 (1992). Bankruptcy does not accelerate an installment note or trigger the statute of limitations on enforcement of a deed of trust, it only eliminates the debtor's personal liability. *Copper Creek* at 21. The debtor's in rem liability remains intact: "The debt, the note, and the payment schedule remain unchanged." *Id.*

When a borrower files for bankruptcy and receives a discharge, the borrower is relieved of personal liability on the debt. However, the Washington Supreme Court in *Copper Creek* and in *Merritt* agreed that a discharge does not extinguish the underlying debt. The discharge likewise has no effect on the deed of trust recorded against the real property as security, and a creditor's right to foreclose on the deed of trust passes through the bankruptcy unimpaired. Accordingly, the Washington Supreme Court confirmed that, after discharge, each installment payment for the debt continues to come due according to the contractual terms. A bankruptcy discharge does not trigger the "final" installment payment's due date or accelerate the debt prematurely.

## Impact of US Bankruptcy laws

In *Hazel v. Van Beek*, 135 Wash. 2d 45 (1998), the Washington State Supreme Court ruled that the bankruptcy stay does NOT toll the statute of limitations for the months under the stay and that if the statute of limitations expires during the stay then those months under the stay are lost to enforcement unless enforced within 30 days after expiration of the stay.

Lois Hazel foreclosed on real property of Leonard Van Beek to satisfy a judgment Hazel had won against Van Beek in his bankruptcy in Western District of Washington on 11/2/1983. On January 31, 1984, Van Beek filed a new petition for chapter 13 bankruptcy. This bankruptcy was dismissed just


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over six months later, on August 7, 1984. Bankruptcy filings stay enforcement of judgment liens during the pendency of the bankruptcy proceeding, 11 U.S.C. § 362(a)(2), (4), (5), so Hazel was precluded from enforcing her judgment during those six months in 1984. No legal barrier prevented Hazel from enforcing her judgment after August 7, 1984.

## First Mortgage History

On or about April 28, 2003, Debtor Melanie A Smith executed a note in favor of Arboretum Mortgage Corporation in the original principal amount of $322,700 . Exhibit G. The interest rate was fixed at 5.75% for 30 years ( maturity 5/1/33) . The monthly mortgage amount was $1,883.19 and it included escrow/reserve for property taxes and insurance. Exhibit G. The debt was secured by a deed of trust . Exhibit H. It was assigned to Citimortgage 5/16/2013 and then assigned to Federal National Mortgage Association on 10/13/2014.

The loan was transferred to Creditor Wilmington Savings Fund Society, FSB, D/B/A Christiana Trust, Not Individually But As Trustee for Pretium Mortgage Acquisition Trust ("Creditor") on 12/20/18 and then again after 8/23/24 to US Bank Trust National Association, Not IN Its Individual Capacity But Solely AS Owner Trustee for RCF 2 Acquisition Trust ( "Creditor" ) ,who is the current holder of the Note.

Quality Loan Service Corp. is the Trustee of the Deed of Trust ( See EX B).

Selene is the loan servicer. See Ex E ,C.

## Years in Bankruptcy, but Big Gaps in Bankruptcy Filings Allowing the Statute of Limitations to Run

Debtor filed for protection under Chapter 7 of Title 11 of the United States Code on 10/4/04 and that case was closed three months later on 1/18/05 (04-49413-PHB) and then in Chapter 7 again 08/01/11 and closed three months later 11/07/11 (11-19182-TWD). She was in Chapter 13 from


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06/25/13 through 12/11/18 for five years and six months (13-15848-MLB), but the clerks office also shows for much of that time she was under Chapter 13 and case number 14-15325-TWD from 07/16/14 through 04/17/20 for 5.9 months. She made years of payments under her Ch13, but just prior to completion of the Ch 13 , the court converted it to a Ch7. Of late, she has been in Chapter 7 starting 01/31/24 until present under case 24-10218-CMA (the Ch 7 was converted to Ch 13 6/6/24, but converted back to Ch 7 8/9/24).

Thus, there was no bankruptcy case open and therefore no bankruptcy Stays effective to "toll" statute of limitations for any mortgage payments missed during:

- 1/19/05-7/31/11 6.5 years–these missed payments on the first and second mortgages are all barred by 6 year S/L because not foreclosed in last 6 years ;
- 11/8/11-6/24/13 1.5 years–these missed payments on the first and second mortgages are all barred by 6 year S/L because not foreclosed in last 6 years ;
- 4/18/20-1/30/24 2yrs ,10 months–NOT S/L barred because within the last 6 years.

Prior to filing bankruptcy, Creditor first mortgage had initiated foreclosure proceedings and the sale has been discontinued five times. [The recording table of the first mortgage (recording date, document, acceleration date, foreclosure sale date) is not transcribed here.] The current foreclosure sale is set for 4/11/25, having been continued from 2/14/25. Chicago Title cannot find any recordings after 2/21/24.

The gaps in bankruptcy periods allowed the statute of limitations to run during times of foreclosure periods not stayed by bankruptcy, and that led to a history of foreclosure filings above for times out of bankruptcy–have a great impact on statute of limitations running when no stays and the great impact of 11 U.S.C. § 108(c) (2), barring creditors bringing collection on each payment and charge missed when under the stays and NOT collected upon with 30 days of the stay liftings. This is especially true of the second mortgage creditor which NEVER filed default notices or foreclosure sales


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at any time in or out of bankruptcy and much of its payments and charges are barred by the statute of limitations.

## Recent Stay Lifted for First Mortgage US Bank

First Mortgage Creditor was granted by the bankruptcy court Relief From Stay on 8/23/24 (doc 76). See EX F . A new notice of foreclosure sale was set for 2/14/25 ( See EX B) and was continued to 4/11/25.

## Impact of 11 U.S.C. § 108(c)(2)

In the instant case of Melanie Smith, the first mortgage creditor here had her bankruptcy stay lifted as to the first mortgage and was allowed to initiate foreclosure sale for nonpayment of mortgage by bankruptcy court order of 8/23/24, upon Creditor's motion. See EX F . Under 11 U.S.C. § 108(c)(2), the first mortgage had 30 days until 9/22/24 to enforce collection for the missed mortgage payments older than 6 years before that date–meaning the Creditor could have arguably collected costs from as old as 8/24/18 (6 years before the stay was lifted 8/23/24) if enforced within 30 days of 8/23/24 or 9/22/24. BUT here, the first mortgage creditor did NOT file a notice of default and notice of trustee sale until 10/09/24–17 days AFTER the 30 day deadline, so it can not collect on payments 8/23/18 and older, barred by the 6 year statute of limitations. Furthermore, the first mortgage creditor can not collect on payments missed more than 6 years from the 10/09/24 notice of default and trustee sale, or payments or charges missed before 10/10/18 because that was the first enforcement action taken after the stay was lifted.

But here, the first mortgage is only claiming from 12/01/18 to now 4/30/25 because first mortgage creditor claims that all payments were made before 12/01/18 and no payments made thereafter. 12/1/18 is closer in time than six years ( under six years ) before enforcement was last made


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10/9/24. Therefore, there is no statute of limitations impact from bankruptcy on the first mortgage, EXCEPT for any amounts creditor first mortgage claims is due before 10/09/18.

The First Mortgage's servicer, Quality Loan Service Corp., payoff calculations dated 2/7/2025 in Exhibit C have a total $384,403.83 owing , BUT the amount owing should be reduced by all amounts for interests, late charges, escrow/impound, reconveyance fees and costs, Advances (posting, credit, title, prior foreclosure fees and costs, recording fee, mailing, postpone sale costs, publication, reset of sale, sale postponement fee, trustee fees, etc.), and incurred foreclosure fees and costs (trustee fees, posting/publication charges, and rescission recording) incurred prior to 10/10/2018. Such amounts are barred by the six year statute of limitations starting before enforcement was last made 10/9/24 with the filing of a notice of default and notice of Trustee's Sale ( Ex B) .

There is No genuine dispute regarding facts of missed payments and charges on US Bank, FIRST MORTGAGE , per Creditor's own documents, BUT DEBTOR disputes charges and costs older than 6 years and argues costs of $18,219.43 ( See Ex D) for notated dates and amounts barred by statute of limitations) older than 6 years before 10/09/24 or 10/10/18 must be barred by the statute of limitations.

On or about April 13, 2006, Debtor Melanie A Smith executed a Balloon Payment Note, Balloon Rider and deed of Trust in favor of Plaza Home Mortgage ,Inc in the original principal amount of $350,000.00 ("Note"). The debt described by the Note is secured by a deed of trust ("Deed of Trust") properly recorded and creating a lien against property commonly described as 3057 42nd Avenue West, Seattle, WA ("the Property"). The interest rate was fixed at 11.250 for 15 years ( maturity 5/1/21) . The monthly mortgage amount is $1,907.42 dollars and it included escrow/reserve for property taxes and insurance. See EX. I Creditor's 6/21/24 Proof of Claim, Claim 2-1 p13-15 .


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Dated: 4/8/24

/s/ William C. Budigan

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# CERTIFICATE OF SERVICE

On 4/9/25, I served the foregoing MOTION FOR SUMMARY JUDGMENT DETERMINATION OF AMOUNTS OWING TO FIRST AND SECOND MORTGAGE AFTER REDUCTION BY STATUTE OF LIMITATIONS BARRED MISSED PAYMENTS AND MEMORANDUM IN SUPPORT AND DECLARATION OF DEBTOR on the following individuals by email addresses below and electronic means through the Court's ECF program:

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

/s/ William C. Budigan

DEBTOR Melanie A Smith, 3057 42nd Ave W, Seattle, WA 98199

TRUSTEE

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DEUTSCHE BANK NATIONAL TRUST COMPANY

(second mortgage)

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